

ECON 212 — Principles of Microeconomics

Lecture Notes — Ch. 6: Government Intervention in Supply & Demand

Fall 2026

We've seen how supply and demand works with elasticity. Now, we turn to asking how government action affects market outcomes, and how this may depend on the elasticities of the buyers and sellers.

Outline

- ① See what happens when the government dictates the price to help certain groups.
- ② See how taxation falls on either group.

① Policy 1: Price Controls (Elasticity Style!)

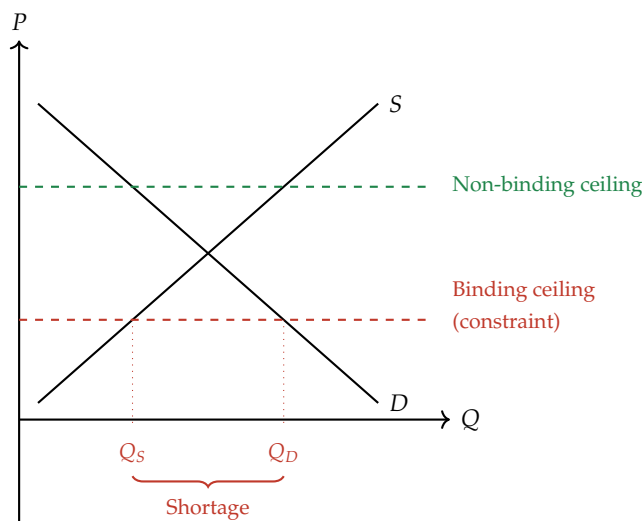
Governments sometimes impose price ceilings and price floors.

- Goal: help people (with voting power) buy/sell at a “good” price.
- PRO'S: the policy does what it set out to do — it changes the legal price.
- CON'S: it has unintended side-effects.
 - ↪ Probably why economists are so snarky and cynical.

Ⓐ Price Ceiling

Price ceiling

A legal *maximum* at which a good can be bought or sold.

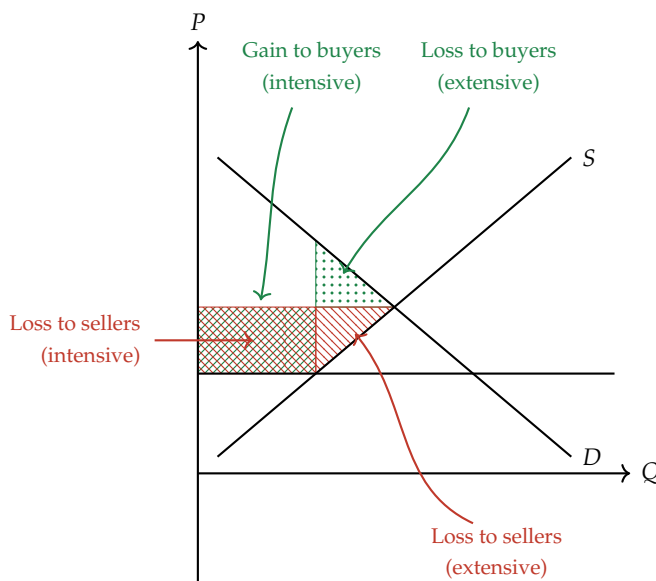


Q In a shortage, how are goods rationed?

- Before, it was 'price'.
- Lines/waiting.
 - ↪ Actual waiting = lost time.
 - ↪ Online waiting = delay / bad timing.
- Personal biases (friends, race, ...).
- Underground markets.
 - ↪ Black market.
 - ↪ Favor-for-favor.

Q Who benefits from this policy?

**Careful here, as consumer surplus is yet to be introduced.*



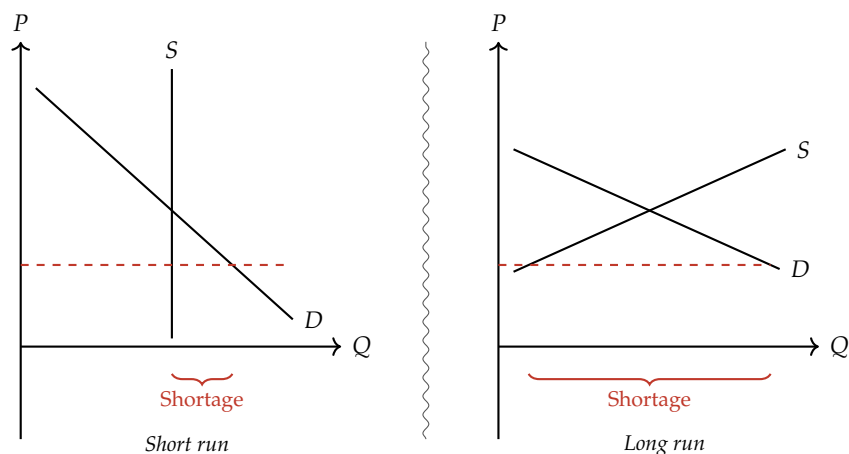
Really, two things are happening:

- ① The price changes. This redistributes the gains from trade (the *intensive* margin).
- ② The quantity decreases. This destroys gains from trade (a loss in the *extensive* margin).

Another Example (Elasticity Style!): Rent Control

Q What would S look like in the short run?

First, draw the ceiling. Second, let's consider what happens to S and D in the long run.



→ S becomes more elastic.

↪ Less building, units repurposed.

→ D becomes more elastic.

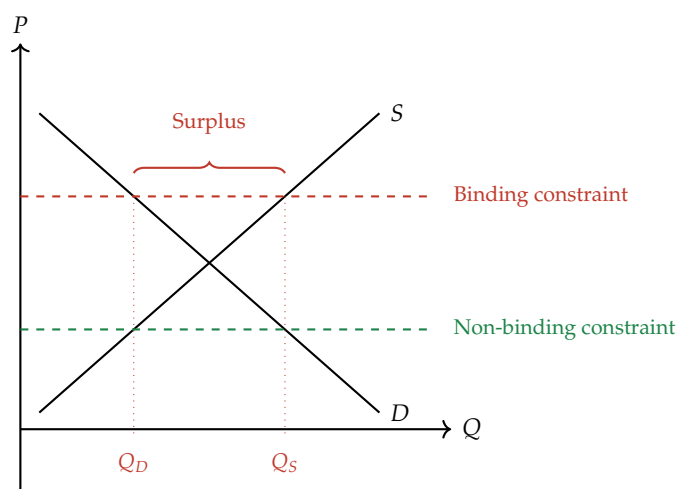
↪ The low price incentivizes rearranging living arrangements.

So the shortage increases with time!

Ⓑ Price Floor

Price floor

A legal *minimum* at which a good can be bought or sold.



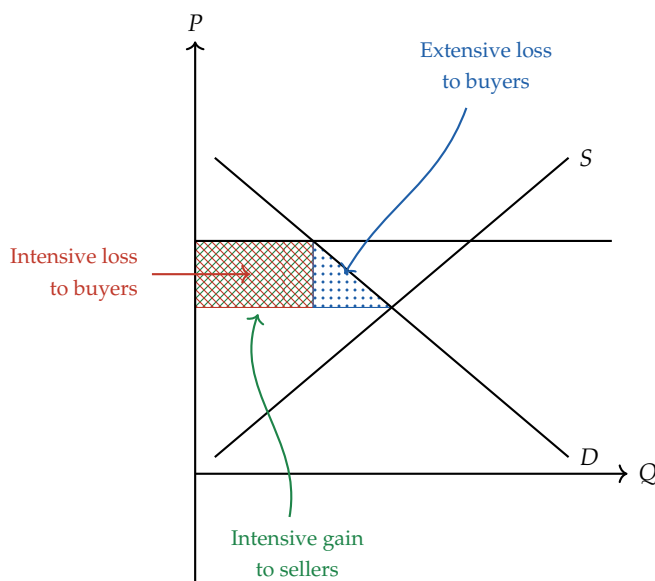
Again, how are "buyers" rationing their business?

→ Friends / biases.

→ Non-contractual favors and requirements.

Ⓚ Who benefits from this?

**Hold off on this analysis!*



Once again we see two effects:

- Redistribution from buyers to sellers in the intensive margin.
- Loss to buyers who are priced out of the market.

Example Minimum wage.

- Decreases the number of jobs available.
 - ↪ Many teens would work for free at an internship.
- Changes the *types* of teens working.
 - ↪ More middle/upper class looking for spending money.

Mention elasticity again: D is initially inelastic!

② Policy 2: Taxes (Elasticity Style!)

So what now? Price controls are far from perfect and tend to reallocate resources poorly (waiting, biases, etc.). If our goal is to help a specific set of people (renters, low-wage earners), why not just pay them cash?

- ↪ Cash payments require taxes...
- Big question: how do taxes affect the market outcome?
 - ↪ In particular, how is the burden shared?

Tax incidence

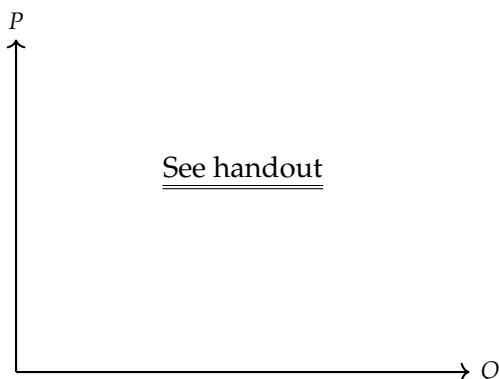
Tax incidence: how the burden of a tax is shared between buyers and sellers.

Ⓐ How a Tax on Sellers Affects the Market

Example: let's add a \$1 tax to coffee in Holland.

*** Paid by the sellers! ***

□ How should we show this on a supply-and-demand graph?



Use handout

Steps:

- ① Which curve moves?
- ② Which direction (and how far)?
- ③ Find and compare equilibria.

Observation: You (or the Government) Can't Dictate!

It doesn't matter who *physically* pays the government.

FICA — Federal Insurance Contributions Act $\Rightarrow$ a 15.3% tax on pay.

Who pays? The government says it is 50–50. But can they do this? No!

□ If not 50–50, can we possibly figure out who pays more?

- $\rightarrow$ Yes! It depends on the elasticities!
- $\rightarrow$ Look back at the example $\rightsquigarrow$ buyers were more inelastic and paid a larger share!

The result

Tax incidence depends on elasticities: more elastic agents pay less tax.

□ Why?

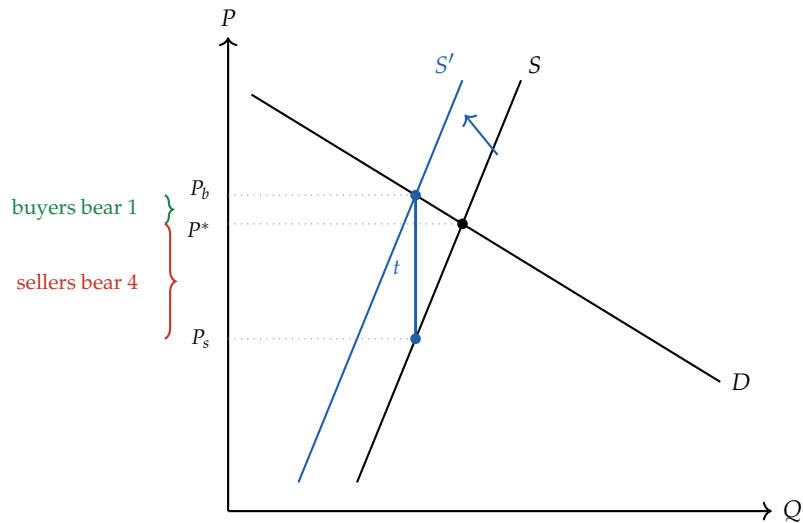
→ Elastic people can switch to an untaxed good!

Example: Luxury Tax

In 1990, Congress started taxing luxury items.

→ Yachts.

But think about the elasticities here.



→ The supply of yachts is inelastic $\Rightarrow$ shipyards don't have many other options.

→ The demand for yachts is elastic $\Rightarrow$ go to Disney instead, or buy a new car...

So suppliers pay the tax... and these are blue-collar shipyard workers—

$\hookrightarrow$ This is why economists are so cynical!